

Payment Chronicle by Gajanan

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Companies: Square, Adyen

Article 1

Adyen taps Plaid to power pay by bank, turning up the heat on card fees

Adyen just plugged into Plaid to make bank to bank payments less painful and more mainstream. In plain English, Adyen is bolting Plaid's account linking and risk tools onto its checkout so shoppers can pay straight from their bank—no card, no micro deposits, fewer hops. For merchants, that can mean lower acceptance costs than card rails, faster onboarding (instant account verification), and fewer failed payments thanks to balance checks and smarter risk scores. For consumers, it's a quicker checkout that feels like paying by card, minus the plastic.

Why this matters: "Pay by bank" has long promised cheaper, safer payments but struggled with clunky UX and fraud risk. Plaid fixes the plumbing; Adyen packages it neatly alongside cards, wallets and local methods in one integration. That's a shot across the bow for interchange-heavy card transactions, especially for subscriptions, bill pay and big-ticket e commerce where ACH/open banking shines. The catch? Habits are sticky, dispute processes are different, and coverage varies by market. Still, if Adyen can convert even a slice of card volume to bank rails, merchants get margin relief—and the card duopoly feels a little more heat.

Source: PaymentsJournal

<https://www.paymentsjournal.com/adyen-and-plaid-partnership-what-it-means/>

Article 2

Adyen rolls out embedded finance in the US with Accounts and Capital

Adyen just moved another step beyond payments. The Dutch fintech is rolling out embedded finance in the US—think business bank accounts (Adyen Accounts) and bite sized working capital (Adyen Capital) that platforms can offer directly to their sellers. If you run a marketplace or a SaaS platform, this means your merchants can get paid faster, park funds in dedicated accounts, spend via linked cards, and tap instant cash advances—without ever leaving your ecosystem. For Adyen, it's a natural extension of its one stack strategy: use rich transaction data to underwrite credit, settle funds instantly, and take a bigger slice of the value chain, not just the swipe fee. The implication? Platforms get new revenue streams and stickier merchants. SMBs get speed and simplicity. Traditional banks and standalone lenders get more competition at the point of need. The flip side is classic: credit risk, compliance, and the cost of capital. But if Adyen's data flywheel works as advertised, the company just made itself much harder to displace—and made payments look a lot more like a full service bank in your software.

Source: PaymentsJournal

Article 3

Adyen plugs BNPL deeper into checkout pipes as holiday surge looms

BNPL is gearing up for another bumper holiday season, and Adyen just made sure it owns more of that action. The Dutch payments processor is deepening ties with a Swedish BNPL giant to make “pay-in instalments” a native, switch on option for merchants using its platform. Translation: instead of signing separate BNPL contracts and plumbing in new code, retailers can flick a toggle in Adyen and start offering split payments at checkout. What it means: distribution is shifting from standalone BNPL apps to the checkout pipes that actually control payment routing. For Adyen, this is classic “own the checkout” strategy—add a high converting tender type, lift authorisation rates, and make its platform stickier ahead of peak season. For the BNPL provider, it's cheaper customer acquisition and broader reach without knocking on every merchant's door. Merchants get a fast path to higher conversion and bigger baskets, but should watch all in costs, refund logistics and fraud risk as volumes spike. The broader takeaway? BNPL is becoming a commodity button in the payments stack. Gatekeepers like Adyen gain leverage, while rivals—from other PSPs to card networks' instalment products—scramble to stay top of wallet.

Source: PaymentsJournal

<https://www.paymentsjournal.com/klarna-and-adyen-team-up-for-in-store-bnpl/>

Article 4

Square adds Bitcoin at checkout. Hype or help for small merchants?

Square just turned on Bitcoin at checkout for its small-business clients. In plain English: merchants can now take BTC through Square's existing checkout flows and choose to auto-convert it to dollars, dodging the crypto price rollercoaster. It's classic Block strategy—link Square's point-of-sale with its broader Bitcoin bet and give merchants another payment rail without changing their daily operations. What it means: expect more “we accept Bitcoin” signs as a marketing hook to lure tech-forward customers, especially in online and tourist-heavy niches. Crypto payments are push-based, so no chargebacks—a plus for fraud control. There's also a potential cost angle if crypto processing undercuts card fees, though savings depend on Square's pricing and FX spread. On the flip side, merchants will need to mind tax reporting and reconcile new settlement flows. Consumer demand is the wild card; crypto spenders remain a niche. But for Block, this tightens the loop between Cash App users and Square sellers and keeps pressure on PayPal, Stripe, and crypto-native processors. Not every café needs a crypto wallet—now it doesn't.

Source: PaymentsJournal

<https://www.paymentsjournal.com/square-adds-bitcoin-payments-and-upgrades-ai-for-small-businesses/>

